Trading CDX Tranches

The Assignment

It is Friday 30th November 2007. A hedge fund manager has approached you with a trading idea for the CDX IG9 index tranches. The current quotations for these tranches are shown in the tables below:

CDX9 20Dec12

Quote Table

Tranche	Bid Spread	Bid Upfront	Offer Spread	Offer Upfront	Base Corr Delta
0% - 3%	500.00	50.53	500.00	51.53	12.45
3% - 7%	245.50	0.00	250.50	0.00	6.57
7% - 10%	104.00	0.00	109.00	0.00	3.02
10% - 15%	54.00	0.00	58.00	0.00	1.11
15% - 30%	34.40	0.00	36.40	0.00	0.57
30% - 100%	15.30	0.00	16.30	0.00	0.28
Reference rate	75.00				

Mid Index Spread Levels

	Index	Average	NAV Spread	Basis	Spread DV01
Current	***76.25***	***82.74***	***76.77***	***-0.52***	***4.49***
Day change	-1.00	-4.25	-3.37	2.37	0.00
Week change	-4.25	-9.87	-8.48	4.23	0.01
Month change	16.25	20.01	17.38	-1.13	-0.02

Normal Copula Mid Base Correlations

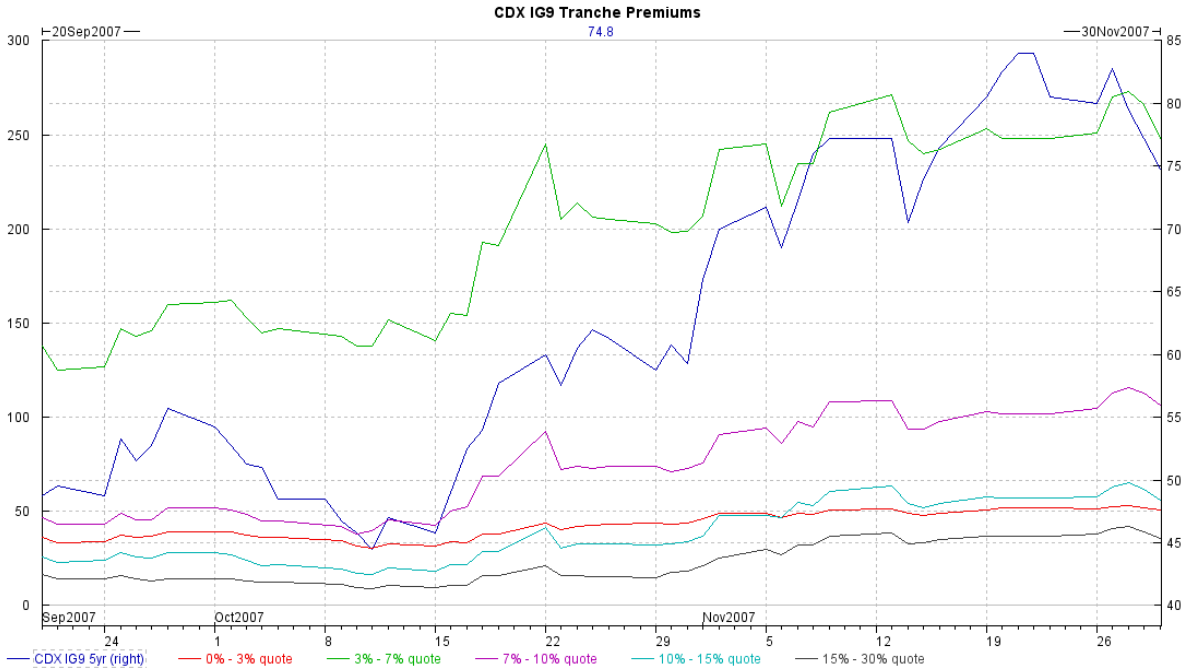
	3 %	7 %	10 %	15 %	30 %
Current	***21.22***	***44.58***	***54.35***	***67.91***	***87.30***
Day change	-2.91	-4.33	-5.06	-4.95	-3.21
Week change	-3.88	-7.51	-9.51	-9.98	-7.95
Month change	1.96	5.57	5.99	6.70	2.09

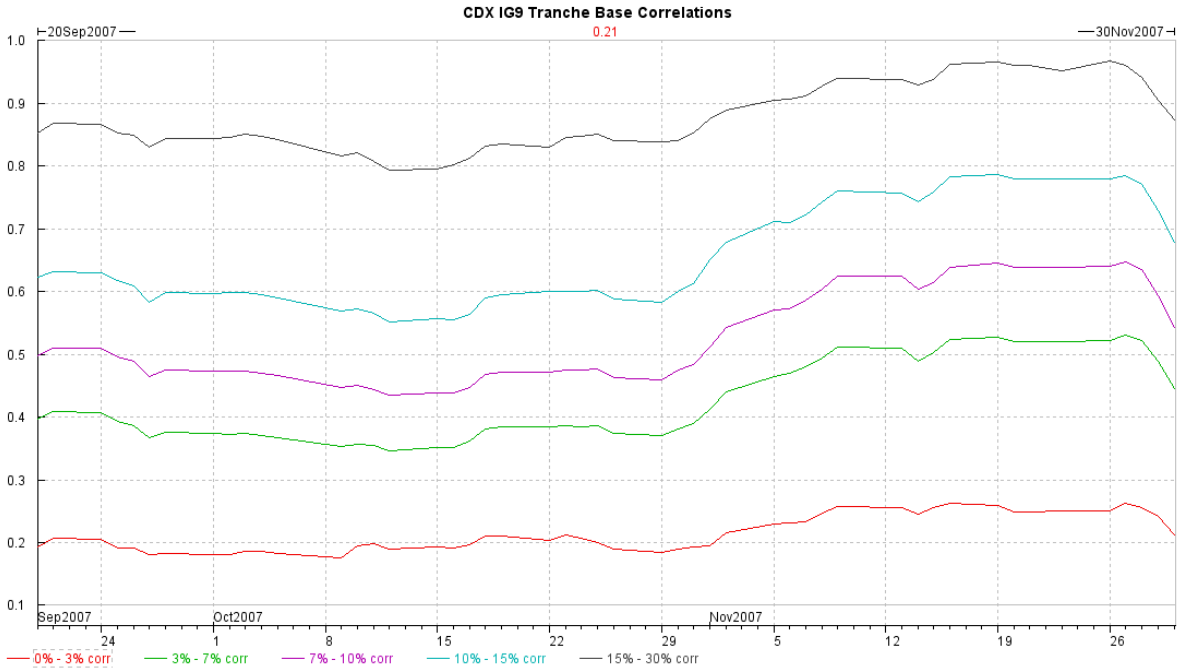
Source: Goldman Sachs

Specifically, the hedge fund manager believes that credit will deteriorate over the next month or so, and that base correlations will also rise.

Recent history of both credit (index and tranche premiums) and base correlation are charted on the next page.

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Source: Goldman Sachs

REQUIRED

1. What trading strategy would you advocate if the hedge fund manager wanted to take a view purely that credit quality will deteriorate?
2. What trading strategy would you advocate if the hedge fund manager wanted to take a view purely that base correlation will increase?
3. A month later, it turns out that the hedge fund manager's views were correct. Specifically, on Thursday 10th January 2008 the quotations for premiums, correlations, and SDV01s are shown in the tables on the next page.

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CDX9 20Dec12

Quote Table

Tranche	Bid Spread	Bid Upfront	Offer Spread	Offer Upfront	Base Corr Delta
0% - 3%	500.00	56.75	500.00	57.75	8.96
3% - 7%	397.50	0.00	402.50	0.00	6.75
7% - 10%	180.50	0.00	185.50	0.00	2.78
10% - 15%	97.00	0.00	101.00	0.00	1.77
15% - 30%	57.00	0.00	59.00	0.00	1.09
30% - 100%	26.80	0.00	27.80	0.00	0.25
Reference rate	103.00				

Mid Index Spread Levels

	Index	Average	NAV Spread	Basis	Spread DV01
Current	***92.75***	***108.15***	***100.39***	***-7.64***	***4.41***
Day change	-6.50	-12.55	-5.26	-1.24	0.01
Week change	8.75	11.86	12.05	-3.30	-0.01
Month change	20.25	29.29	26.25	-6.00	-0.04

Normal Copula Mid Base Correlations

	3 %	7 %	10 %	15 %	30 %
Current	***28.59***	***52.21***	***62.48***	***74.23***	***92.79***
Day change	0.02	-0.59	-1.21	-1.69	-4.03
Week change	1.74	1.24	1.76	0.41	0.53
Month change	4.99	4.53	5.29	3.54	3.36

Normal Copula Base Correlation Sensitivity

Tranche	3 %	7 %	10 %	15 %	30 %	PV01
0% - 3%	-0.703	0.000	0.000	0.000	0.000	2.48
3% - 7%	12.09	-13.86	0.00	0.00	0.00	4.26
7% - 10%	0.00	17.07	-16.18	0.00	0.00	4.44
10% - 15%	0.00	0.00	9.48	-9.64	0.00	4.49
15% - 30%	0.00	0.00	0.00	3.17	-3.15	4.53
30% - 100%	0.00	0.00	0.00	0.00	0.68	4.44

Source: Goldman Sachs

Using the SDV01s (shown as PV01s in the table above), what approximate profits would the hedge fund manager have made for each of the two strategies you suggested for questions 1 and 2?

You can assume a trade size of $100mm if a single trade is involved, or $100mm as the maximum trade size if your strategy involves two or more transactions. Use bid and offer prices, as appropriate, where given.

(Note that the SDV01s are quoted on a duration basis. To convert to the dollar profit per basis point per $1mm, just multiply by 100. So an SDV01 of 4.41 years is equivalent to an SDV01 of $441.)

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